PRODUCT SUMMARY: SAVINGS DEPOSIT PRODUCTS

- **Product Type**: Savings Deposit Accounts (Standard, BSBDA, and Digital).
- **Primary Purpose**: To encourage the habit of saving while providing 24/7 liquidity for personal and business transactions.
- **Risk Level**:
  - **Low**: Guaranteed principal through DICGC insurance up to ₹5 Lakhs.
- **Suitable For**:
  - Individuals seeking high liquidity and safe keeping of funds.
  - Financial inclusion through zero-balance accounts (BSBDA).
  - Tech-savvy users looking for high interest via digital onboarding.
- **Not Suitable For**:
  - Investors seeking high-risk market returns (consider ETFs instead).
- **Key Risks**:
  - **Inflation Risk**: Returns may not always beat inflation.
  - **Dormancy Risk**: Accounts inactive for 2 years become inoperative.
- **Advisory Restriction**:
  - Interest rates are subject to change based on RBI and bank policy

DOCUMENT: MASTER POLICY ON SAVINGS DEPOSIT PRODUCTS

1. STANDARD SAVINGS ACCOUNT POLICY

- **Purpose:** To encourage the habit of saving among the public while providing 24/7 liquidity for personal and business-related transactions.

- **Account Opening & KYC:** No account can be opened without a completed "Know Your Customer" (KYC) process. Mandated documents include a Proof of Identity (Aadhaar/PAN) and Proof of Address.
- **Interest Calculation:** * **Method:** Calculated on a **Daily Product Basis** using the end-of-day closing balance.
    - **Credit Frequency:** Interest is credited to the account on a quarterly basis (March, June, September, and December).
- **Minimum Balance (MAB) Management:** * **Metro/Urban:** ₹5,000 to ₹10,000 (Average Monthly Balance).
    - **Semi-Urban/Rural:** ₹1,000 to ₹2,000.
    - **Non-Maintenance Charges:** Penalties are applied if the balance falls below the threshold, usually ranging from ₹100 to ₹500 depending on the shortfall.
- **Services Provided:** Unlimited digital transactions, a fixed number of free ATM withdrawals per month, and chequebook facilities.

2. BSBDA (BASIC SAVINGS BANK DEPOSIT ACCOUNT) POLICY

- **Objective:** To promote "Financial Inclusion" as per the Pradhan Mantri Jan Dhan Yojana (PMJDY) framework.
- **Zero-Balance Clause:** This is a mandatory zero-balance account; no charges can be levied for non-maintenance of a minimum balance.
- **Operational Limitations:**
    - **Withdrawals:** Maximum of **4 withdrawals** per month (including ATM and branch).
    - **Total Credits:** Total credits in a financial year must not exceed **₹1,00,000**.
    - **Account Balance:** The total balance at any given point must not exceed **₹50,000**.
- **Debit Card:** Customers are entitled to a free **RuPay Debit Card** with no annual maintenance fees.

3. HIGH-INTEREST DIGITAL SAVINGS ACCOUNT POLICY

- **Onboarding:** Strictly via **Video-KYC (V-KYC)**; these accounts are "Paperless" and "Branchless" in their initial setup.
- **Tiered Interest Structure:** To remain competitive, these accounts offer higher interest rates compared to traditional savings accounts.
  - **Rate Example:** 4% for balances up to ₹1 Lakh; **up to 7.5%** for balances exceeding ₹1 Lakh.
- **Auto-Sweep Facility:** Most digital accounts include a "Sweep-in" feature where surplus funds (e.g., above ₹25,000) are automatically moved to a Fixed Deposit (FD) to earn higher interest, while remaining instantly withdrawable.
- **Virtual Ecosystem:** Includes a free virtual debit card for online shopping and full integration with UPI and mobile banking apps.

4. GENERAL STATUTORY PROVISIONS

- **Nomination Facility:** Under Section 45ZA of the Banking Regulation Act, 1949, every account holder is strongly advised to appoint a nominee to ensure the smooth settlement of funds in the event of death.
- **Taxation (TDS):** Tax is not deducted at source on savings account interest unless it exceeds ₹40,000 per year. Form 15G/15H can be submitted for exemption.
- **Dormancy Policy:** If an account remains inactive for **2 years**, it is classified as "Inoperative." To reactivate, the customer must submit fresh KYC documents at the base branch.
- **Deposit Insurance:** All deposits (Standard, BSBDA, and Digital) are insured by the **DICGC** up to a maximum of **₹5 Lakhs** per depositor per bank.